KO 1 3.5.1 | Financial Objectives

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

TYPES OF FINANCIAL OBJECTIVE

Revenue objectives - e.g. increase revenue by 10% in two years.

Cost objectives - e.g. cut operating costs by £200,000.

Profit objectives - e.g. achieve an operating profit margin of 12%.

Cash flow objectives - e.g. keep a minimum closing cash balance each month.

Return on investment - e.g. every new project must return at least 15%.

RETURN ON INVESTMENT

Return on investment (%) = profit from investment ÷ cost of investment × 100

Example - a £200,000 investment generates £30,000 profit. ROI = £30,000 ÷ £200,000 × 100 = 15%.

ROI allows projects of different sizes to be compared.

THE VALUE OF FINANCIAL OBJECTIVES

Give a clear target for managers and a way to measure performance.

Help control spending and decide which investments go ahead.

Reassure shareholders and lenders that finances are being managed.

They should support the corporate objectives.

INFLUENCES

Corporate objectives and the business's stage of development - a start-up may focus on cash flow, an established plc on profit and returns to shareholders.

Market conditions and competition.

The economy, e.g. interest rates.

Ethical and environmental influences, and pressure from shareholders.

EXAM TRAP

ROI uses profit from the investment, not the total revenue it brings in. Express it as a %.

ANALYSIS CHAIN

Minimum ROI target of 15% → projects below the target are rejected → money goes to the most profitable uses → overall profitability improves.

TOP GRADE CONNECTION

A strict financial target can cause short-termism, e.g. cutting training to hit a profit objective this year. Judge whether the objective fits the business's longer-term strategy.

KO 2 3.5.1 | Cash Flow v Profit & the Three Measures of Profit

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

CASH FLOW V PROFIT

Profit - revenue minus costs over a period, whether or not the cash has been received or paid.

Cash flow - the money actually coming into and going out of the business.

A business can be profitable but short of cash, e.g. if customers pay on 90 days' credit, inventory is building up, or it has just bought equipment.

A business can also have strong cash flow but make a loss, e.g. after taking out a loan or selling assets.

THE THREE MEASURES OF PROFIT

Gross profit = revenue - cost of sales

Operating profit = gross profit - operating expenses

Profit for the year = operating profit + profit from other activities - net finance costs - tax

WORKED EXAMPLE

Revenue £500,000. Cost of sales £300,000. Operating expenses £120,000. Net finance costs £10,000. Tax £14,000.

Gross profit = £500,000 - £300,000 = £200,000

Operating profit = £200,000 - £120,000 = £80,000

Profit for the year = £80,000 - £10,000 - £14,000 = £56,000

WHAT EACH ONE TELLS YOU

Gross profit - how well the business buys or makes its products compared with what it sells them for.

Operating profit - how well the business is run day to day, after overheads.

Profit for the year - what is left for shareholders, after interest and tax.

EXAM TRAP

Cash flow and profit are different. Never write that a profitable business cannot have cash flow problems - timing of payments is the key.

ANALYSIS CHAIN

Large order sold on 90 days' credit → profit is recorded now → cash arrives in three months → bills must still be paid → business may need an overdraft despite being profitable.

TOP GRADE CONNECTION

Survival depends on cash; long-term success depends on profit. Judge which matters more for the business in the case - usually cash for a fast-growing or young business.

KO 3 3.5.2 | Budgets & Variances

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

BUDGETS

A budget is a financial plan for the future, setting targets for revenue (income budget) and costs (expenditure budget) over a period.

Constructing a budget: use past figures, market research and objectives to forecast income and spending, then agree targets with managers.

VARIANCES

Variance = budgeted figure - actual figure

Favourable - the result is better for profit than planned: revenue higher or costs lower than budget.

Adverse - the result is worse for profit than planned: revenue lower or costs higher than budget.

WORKED EXAMPLE

Budgeted revenue £50,000, actual £46,000. Variance = £4,000 adverse.

Budgeted costs £30,000, actual £27,000. Variance = £3,000 favourable.

Overall profit variance = £1,000 adverse (budgeted profit £20,000, actual £19,000).

THE VALUE OF BUDGETING

Benefits - planning, coordination between departments, control of spending, motivation if managers are involved, a benchmark to measure performance against.

Difficulties - forecasts may be wrong, setting budgets takes time, managers may spend up to the budget to avoid a cut, and budgets can be too rigid when conditions change.

Variances only show that something is different. Managers must find out why.

EXAM TRAP

Decide favourable or adverse by the effect on profit, not by whether the number is positive or negative. Higher costs than budget is adverse even though the cost figure went up.

ANALYSIS CHAIN

Adverse cost variance on materials → investigation shows supplier price rise → switch supplier or adjust prices → costs brought back towards budget.

TOP GRADE CONNECTION

A favourable variance is not always good news. Lower spending than budget could mean training or maintenance was cut, storing up problems for later.

KO 4 3.5.2 | Cash Flow Forecasts

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

STRUCTURE OF A FORECAST

Cash inflows - cash sales, payments from credit customers, loans, capital introduced.

Cash outflows - payments to suppliers, wages, rent, loan repayments, equipment.

Net cash flow = cash inflows - cash outflows

Closing balance = opening balance + net cash flow. The closing balance becomes the next month's opening balance.

WORKED EXAMPLE

Opening balance £5,000. Inflows £20,000. Outflows £27,000.

Net cash flow = £20,000 - £27,000 = -£7,000

Closing balance = £5,000 + (-£7,000) = -£2,000

The business needs an overdraft or other finance for this month.

PAYABLES AND RECEIVABLES

Receivables - money owed to the business by customers who bought on credit.

Payables - money the business owes to its suppliers.

Giving customers longer to pay delays inflows; getting longer to pay suppliers delays outflows.

VALUE AND LIMITATIONS

Value - shows when shortages may happen so finance can be arranged in advance; supports loan applications; helps plan the timing of spending.

Limitations - based on forecasts of sales and costs that may be wrong, especially for a new business or in a changing market.

EXAM TRAP

A negative closing balance is not a loss. It means the business will be short of cash at that point and needs to arrange finance.

ANALYSIS CHAIN

Customers given 60 days' credit instead of 30 → receivables rise → cash inflows delayed by a month → closing balance falls → higher overdraft and interest costs.

TOP GRADE CONNECTION

A forecast is only as good as its assumptions. Look at what drives the shortage: if it is one seasonal month, an overdraft may be fine; if it is every month, the business has a deeper problem.

KO 5 3.5.2 | Break-even

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

CONTRIBUTION

Contribution per unit = selling price - variable cost per unit

Total contribution = contribution per unit × units sold, or total revenue - total variable costs

Contribution goes first towards paying fixed costs. Once they are covered, contribution becomes profit.

BREAK-EVEN AND MARGIN OF SAFETY

Break-even output = fixed costs ÷ contribution per unit

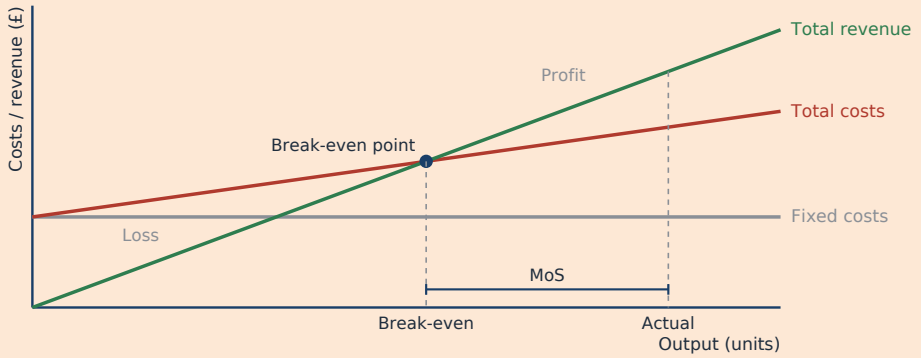
Margin of safety = actual output - break-even output

Example - price £25, variable cost £10, fixed costs £45,000, sales 4,200 units.

Contribution = £15. Break-even = £45,000 ÷ £15 = 3,000 units. Margin of safety = 1,200 units. Profit = 1,200 × £15 = £18,000.

BREAK-EVEN CHART

Break-even is where total revenue meets total costs.



READING THE CHART

Fixed costs: horizontal line. Total costs start at the fixed cost line. Total revenue starts at zero.

Left of break-even is the loss area; right of it is the profit area.

The vertical gap between total revenue and total costs at any output shows the profit or loss.

Margin of safety is read along the output axis, from break-even to actual output.

EXAM TRAP

Margin of safety is measured in units, not £. And it is not the same as profit - profit = margin of safety × contribution per unit.

ANALYSIS CHAIN

Higher contribution per unit → fewer units needed to cover fixed costs → lower break-even output → bigger margin of safety → less risk if sales fall.

TOP GRADE CONNECTION

A large margin of safety gives protection, but how much is enough depends on how volatile sales are. A 10% margin is risky in a fashion market, less so for a utility.

KO 6 3.5.2 | Break-even: Changes & Value

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

CHANGE IN PRICE

A higher price makes the total revenue line steeper. Contribution per unit rises, so break-even output falls.

But sales may fall if demand is price elastic, so the margin of safety may not improve.

CHANGE IN COSTS

Higher fixed costs shift the total costs line up in parallel. Break-even output rises.

Higher variable cost per unit makes the total costs line steeper. Contribution falls, so break-even output rises.

Lower costs have the opposite effect.

CHANGE IN OUTPUT

A change in actual output does not change break-even output, but it changes the margin of safety and the profit or loss.

Example - using the previous page, if sales fall from 4,200 to 3,500 units the margin of safety falls to 500 units and profit to £7,500.

VALUE OF BREAK-EVEN ANALYSIS

Uses - shows how much must be sold to avoid a loss, tests 'what if' changes, supports loan applications and pricing decisions.

Limitations - assumes all output is sold at one price, costs and revenue are straight lines, and fixed costs stay fixed. Relies on accurate estimates; ignores qualitative factors.

EXAM TRAP

A change in output moves the business along the chart - it does not shift any line. Only changes in price or costs move the lines and change break-even output.

ANALYSIS CHAIN

Rent increase → fixed costs rise → total costs line shifts up → break-even output rises → margin of safety shrinks → business is more exposed to a fall in sales.

TOP GRADE CONNECTION

Break-even is most useful for quick 'what if' tests. It is less reliable for a multi-product business or where prices vary, so judge how far its assumptions hold in the case.

KO 7 3.5.2 | Profitability

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

PROFIT MARGINS

Gross profit margin (%) = gross profit ÷ revenue × 100

Operating profit margin (%) = operating profit ÷ revenue × 100

Profit for the year margin (%) = profit for the year ÷ revenue × 100

WORKED EXAMPLE

Using revenue £500,000, gross profit £200,000, operating profit £80,000, profit for the year £56,000:

Gross profit margin = 40%

Operating profit margin = 16%

Profit for the year margin = 11.2%

ANALYSING MARGINS

Falling gross margin - cost of sales rising faster than revenue, or prices cut.

Gross margin steady but operating margin falling - overheads (operating expenses) growing.

Compare with previous years and with competitors in the same industry.

USING DATA FOR FINANCIAL DECISIONS

Margins show where profit is being lost and where to act - pricing, suppliers or overheads.

Financial data helps decide on investment, pricing, cost-cutting and sources of finance.

Data must be read alongside non-financial factors, such as quality and staff morale.

EXAM TRAP

Operating profit is a £ figure; operating profit margin is a %. Answer with the measure the question asks for - many students mix these up.

ANALYSIS CHAIN

Supplier prices rise → cost of sales rises → gross profit margin falls → operating margin falls too unless overheads are cut → less profit for each £1 of sales.

TOP GRADE CONNECTION

Profit can rise while the margin falls, if revenue grows faster than profit. Judge performance using both the £ figure and the margin, compared over time and with rivals.

KO 8 3.5.3 | Sources of Finance

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

INTERNAL SOURCES

Retained profits - profit kept in the business rather than paid as dividends. No interest and no loss of control, but only available if the business is profitable, and reduces dividends.

SHORT-TERM EXTERNAL SOURCES

Overdraft - flexible borrowing up to a limit on a bank account. Good for short-term cash gaps; high interest and can be withdrawn.

Debt factoring - selling receivables to a factoring company for an immediate payment (often around 80%), with the rest paid when customers pay, less a fee. Speeds up cash but reduces the amount received.

LONG-TERM EXTERNAL SOURCES

Loans - a fixed sum repaid with interest over an agreed period. Keeps control but adds repayments and interest; usually needs security.

Share capital - selling shares. No repayment or interest, but dilutes control and shareholders expect dividends. Only for companies.

Venture capital - investment from specialist investors in growing businesses, usually for a share of ownership. Brings expertise as well as money but gives up control.

Crowdfunding - many people each provide a small amount, usually online, in return for rewards or shares. Also tests demand, but ideas are exposed and campaigns may fail.

CHOOSING A SOURCE

Match the term of the finance to the use: short-term needs (cash gaps) with short-term finance; long-term assets with long-term finance.

Other influences: amount needed, cost, the legal form of the business, existing gearing, and how much control the owners will give up.

EXAM TRAP

Debt factoring does not create new money - it speeds up cash the business is already owed, in return for a fee. Make sure you know how it works.

ANALYSIS CHAIN

Business takes a long-term loan for new machinery → keeps control → but interest and repayments rise → gearing increases → more risk if interest rates or sales change.

TOP GRADE CONNECTION

There is no best source. A highly geared firm may need share capital even though it dilutes control; a profitable family firm may prefer retained profit to keep ownership.

KO 9 3.5.4 | Improving Cash Flow

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

SPEEDING UP INFLOWS

Chase customers who are late paying and give shorter credit periods.

Offer discounts for early payment.

Use debt factoring.

Sell assets that are not needed.

DELAYING OR REDUCING OUTFLOWS

Negotiate longer credit periods with suppliers.

Hold less inventory, e.g. through just in time.

Lease equipment rather than buy it.

Cut or delay spending that is not essential.

SHORT-TERM FINANCE

An overdraft can cover a temporary gap between inflows and outflows.

It solves the timing problem but adds interest costs and does not fix the underlying cause.

DIFFICULTIES

Shorter credit for customers may lose sales to rivals who offer longer terms.

Paying suppliers later can damage relationships and lead to worse terms or supply problems.

Factoring and discounts reduce the amount received.

Lower inventory increases the risk of running out.

EXAM TRAP

Improving cash flow is not the same as improving profit. Debt factoring improves cash flow but reduces profit because of the fee.

ANALYSIS CHAIN

Customers offered 2% discount for paying within 10 days → receivables collected faster → cash inflows earlier → less overdraft needed → lower interest costs.

TOP GRADE CONNECTION

Choose the method that fixes the cause. If cash problems come from slow-paying customers, credit control helps; if they come from low margins, only improving profit will solve it.

KO 10 3.5.4 | Improving Profit & Profitability

AQA A-LEVEL BUSINESS 7132 - UNIT 3.5 FINANCIAL MANAGEMENT

PROFIT AND PROFITABILITY

Profit - the £ amount left after costs.

Profitability - profit compared with revenue (profit margins) or with the capital used.

A business can increase profit without improving profitability, and the other way round.

INCREASING REVENUE

Raise prices - works best when demand is price inelastic.

Increase sales volume through promotion, new markets or new products.

Change the product mix towards higher-margin products.

CUTTING COSTS

Cheaper suppliers or bulk buying.

Improving efficiency and labour productivity.

Reducing waste, e.g. lean production.

Cutting overheads such as moving to cheaper premises.

DIFFICULTIES

Price rises may reduce sales if demand is price elastic.

Cheaper materials can reduce quality and damage reputation.

Job cuts can lower morale and productivity.

Promotion and new products cost money before they bring in revenue.

EXAM TRAP

Don't assume a price rise always increases profit. It depends on price elasticity and on whether costs change.

ANALYSIS CHAIN

Switch to a cheaper supplier → cost of sales falls → gross profit margin rises → but if quality falls, returns and complaints rise → some of the gain is lost.

TOP GRADE CONNECTION

Judge methods by whether the improvement will last. Short-term cost cuts that damage quality or morale can reduce profitability in the long run.